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Standard Chartered | Asia Pacific

4Q25 PBT misses cons. on costs; better capital return; 2026 outlook slightly ahead of MSe.

Reaction to earnings

Unchanged

Impact to our thesis



Modest shortfall

Financial results versus consensus



Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

- Revenue in-line. Strong NII helped by HIBOR movement. Loans and deposits each up 1% QoQ. Softer non-NII mainly driven by lower Global Markets episodic income.
- Costs led the miss, 4%/3% higher vs. cons/MSe, including US\$307m performance related pay and US\$121m impact from higher share price and regulatory changes.
- Credit charges better than expected, with a net release of US\$46m in CIB.
- Capital return strong: U\$1.5bn share buyback (expectations U\$1.3-1.4bn); 48.6c final DPS (cons 34.7c, MSe 31.7c). CET1 of 14.1% (13.5% pro-forma for buy back).
- 2026 guidance: reported income growth around bottom end of 5-7%; NII to be broadly flat YoY at ccy; reported costs to be broadly flat YoY and statutory RoTE of >12%. Medium term plan to be announced in May.

Exhibit 1: Standard Chartered 4Q25 earnings review

STAN - US\$ mn	4Q24	1Q25	2Q25	3Q25A	4Q25A	YoY	QoQ	4Q25 Cons	Actual vs. Cons	4Q25E	Actual vs. Mse
Net interest income	2,977	2,796	2,703	2,737	2,949	-1%	8%	2,742	8%	2,761	7%
Non-interest income	1,857	2,594	2,806	2,410	1,899	2%	-21%	2,142	-11%	1,991	-5%
Operating income	4,834	5,390	5,509	5,147	4,848	0%	-6%	4,884	-1%	4,751	2%
Operating expenses (ex-levy)	(3,175)	(2,915)	(3,050)	(2,953)	(3,377)	6%	14%	(3,186)	6%	(3,213)	5%
Bank levy	(102)	0	0	0	(52)	-49%	n/a	(100)	-48%	(100)	-48%
Total expenses	(3,277)	(2,915)	(3,050)	(2,953)	(3,429)	5%	16%	(3,286)	4%	(3,313)	3%
Pre-provision profit	1,557	2,475	2,459	2,194	1,419	-9%	-35%	1,598	-11%	1,438	-1%
Loan impairment	(130)	(219)	(117)	(195)	(145)	12%	-26%	(228)	-36%	(237)	-39%
Other impairment	(353)	(6)	(3)	(20)	(13)	-96%	-35%	(47)	-72%	(46)	-72%
Profit from Associates & JV	(27)	27	64	6	(26)	-4%	-533%	(9)	189%	(17)	53%
Underlying profit before tax	1,047	2,277	2,403	1,985	1,235	18%	-38%	1,316	-6%	1,138	9%
Exceptional items	(247)	(174)	(123)	(219)	(421)	70%	92%	(257)	64%	(261)	61%
Statutory Profit before tax	800	2,103	2,280	1,766	814	2%	-54%	1,056	-23%	877	-7%
Other Key Information											
CRD IV Capital (\$)	35,190	35,122	37,260	36,594	36,440	4%	0%	36,700	-1%	36,923	-1%
CRD IV Risk Weighted Assets (\$bn)	247,065	253,506	259,684	258,378	258,031	4%	0%	260,900	-1%	258,844	0%
CRD IV CET1 Ratio (%)	14.2%	13.8%	14.3%	14.2%	14.1%	(14bps)	(10bps)	14.1%	0bps	14.3%	(20bps)

Source: Company data, Company consensus, e= Morgan Stanley Research estimates

MORGAN STANLEY ASIA (SINGAPORE) PTE.+

Nick Lord

Equity Analyst

Nick.Lord@morganstanley.com

+65 6834-6746

Aitong Li

Research Associate

Aitong.Li@morganstanley.com

+65 6834-6295

MORGAN STANLEY EUROPE S.E., MADRID BRANCH+

Alvaro Serrano

Equity Analyst

Alvaro.Serrano@morganstanley.com

+44 20 7425-6942

Standard Chartered (2888.HK, 2888 HK)

Hong Kong Financials | Hong Kong

Stock Rating

Overweight

Industry View

In-Line

Price target

HK\$222.00

Shr price, close (Feb 23, 2026)

HK\$192.00

52-Week Range

HK\$206.00-86.25

Sh out, dil, curr (mn)

2,408

Mkt cap, curr (mn)

US\$59,162

EV, curr (mn)

US\$59,888

Avg daily trading value (mn)

HK\$146

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Valuation Methodology and Risks

Standard Chartered (2888.HK)

Gordon Growth model, probability-weighted 30% bull, 65% base, 5% bear (based upon likelihood of different macro outcomes, as well as returns and franchise improvement).

Key assumptions:

- 10% cost of equity base, 9% bull, 15% bear.
- Return on allocated equity - 20% bull, 14% base, 8% bear

The result: target P/Bs 2.4x bull, 1.33x base, 0.52x bear.

Risks to Upside

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

Risks to Downside

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver of cost targets

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(as of January 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1520	41%	425	48%	28%	685	42%
Equal-weight/Hold	1579	43%	375	42%	24%	713	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	592	16%	89	10%	15%	232	14%
Total	3,695		890			1631	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Standard Chartered (2888.HK) - As of 02/24/26 GMT in HKD
Industry : Hong Kong Financials



Stock Rating History: 2/1/21 : E/C; 10/17/22 : 0/I

Price Target History: 1/12/21 : 51; 8/11/21 : 52; 2/16/22 : 58.5; 6/8/22 : 61.8; 10/17/22 : 69.3; 2/17/23 : 79.7; 7/31/23 : 89.1; 10/27/23 : 83.5; 12/12/23 : 86.4; 1/11/24 : 89.4; 2/26/24 : 93.3; 5/3/24 : 99.9; 7/8/24 : 100.4; 8/1/24 : 100; 10/7/24 : 103.2; 10/30/24 : 100.4; 1/4/25 : 108.5; 2/27/25 : 128.3; 4/9/25 : 112; 5/5/25 : 113.1; 5/21/25 : 121.5; 8/1/25 : 158.6; 10/8/25 : 173; 10/31/25 : 176.7; 11/24/25 : 188; 1/13/26 : 222

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (02/23/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$44.34
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$135.90
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$192.00
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$417.80

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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